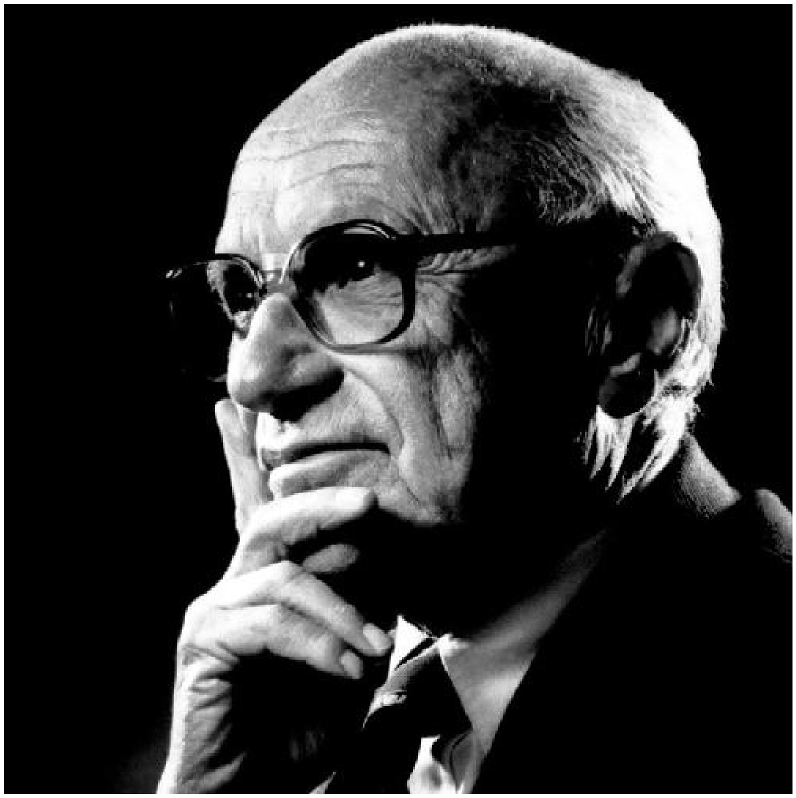
Monetarism



Monetarism is a school of economic thought that stresses the importance of the money supply. Led by the American economist Milton Friedman (opposite), monetarists argued that in the short run there was a link between the money supply and economic output, but in the long run more money would simply lead to inflation. Attempts to fine-tune the economy through active monetary policy – boosting the money supply during downturns, for example – would be futile: even though there might be some short-run impacts, the lags between different variables would make it hard for the government to successfully harness the effects and in the long run the result would be higher inflation. Monetarism says that rather than fiddling with the money supply in response to the economic cycle, governments should set a fixed level of money growth and stick with it regardless of economic conditions. This was tried for a time in the 1980s, but it proved hard for governments to control the money supply quite so strictly.